WAVERLEY GATEWAY GUIDE

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AZERBAIJAN

Eurasia

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WHERE AND HOW TO ENTER

KEY INVESTMENT LOCATIONS

Location / Region	Strategic Importance	Priority Sectors
Baku / Absheron Peninsula	Capital and commercial centre; seat of government, the central bank and the State Oil Fund, and home to most banking, ICT and services activity	Financial services, ICT, construction, tourism
Caspian offshore (Azeri-Chirag-Gunashli and Shah Deniz)	Core oil and gas production base supplying the Southern Gas Corridor to Europe, with BP's $2.9 billion Shah Deniz expansion adding to the pipeline of activity	Oil and gas, oilfield services, engineering
Alat (Port of Baku and Alat Free Economic Zone)	Caspian gateway on the Middle Corridor, with 15 million tonnes of annual cargo capacity set to rise to 25 million tonnes; the adjacent free zone offers zero tax and customs exemptions	Port logistics, manufacturing, trade and distribution
Western transit corridor (towards Georgia and Türkiye)	Route of the Baku–Tbilisi–Ceyhan oil pipeline and the Baku–Tbilisi–Kars railway, whose annual capacity has been raised to five million tonnes	Energy transit, rail freight, logistics
Karabakh and East Zangezur	Large-scale reconstruction region offering incentives similar to the Alat Free Economic Zone, including a 240 MW solar plant of around $200 million due for completion by mid-2027	Construction, renewable energy, agriculture, tourism
Nakhchivan Autonomous Republic	Exclave set to be linked to mainland Azerbaijan via the 43-km TRIPP route through southern Armenia, with zone-style investment incentives	Transport infrastructure, energy, agro-processing
Renewable energy sites (Khizi–Absheron and others)	Host to ACWA Power's 240 MW Khizi–Absheron wind project and Masdar's 1,000 MW renewables programme, anchoring planned green-energy export corridors to Europe and Central Asia	Wind, solar, grid and interconnector infrastructure

INVESTOR ENTRY ROUTES

- AZPROMO, the national investment and export promotion agency working alongside the Ministry of Economy, provides market-entry guidance and investor facilitation and convenes the Azerbaijan International Investment Forum

- Alat Free Economic Zone, established under constitutional law, offering exemption from VAT, income and corporate taxes and customs duties, no restrictions on foreign-exchange transactions or profit repatriation, and a free choice of governing law except in criminal matters
- Comparable zone-style incentives in the Karabakh and East Zangezur reconstruction region and in Nakhchivan, aimed at attracting manufacturing, energy and agricultural investment
- Production-sharing and consortium arrangements with SOCAR and international partners for oil and gas participation, the framework behind the Azeri-Chirag-Gunashli and Shah Deniz developments
- Renewable energy law setting state support mechanisms, producer selection rules, tariff determination and land allocation for renewable projects, used for the ACWA Power and Masdar programmes
- Central Bank of Azerbaijan oversight of a stable manat, supported by record central bank reserves of $15.4 billion; foreign investors repatriated $3.4 billion in 2025
- Co-investment with Azerbaijan Investment Holding, the state investment vehicle, as shown by the $211 million aluminium can plant agreed with Hungary's Hell Energy in the Alat zone

MARKET-ENTRY OBSERVATION

Azerbaijan in October 2026 offers a steadily diversifying economy backed by some of the strongest financial buffers in the region. GDP grew 1.4% in 2025 to 129.1 billion manat (about $75.9 billion), and growth accelerated through 2026 to 1.5% in January–September, led by the non-oil economy (+2.6%), with transport and warehousing up 10% and information and communication services up 11.1%. Fixed investment rose 10.9% to $8.64 billion in the first nine months, and foreign direct investment inflows reached $3.66 billion in the first half of 2026, up 13.8% year-on-year, with non-oil FDI up 19.6%. Inflation is within the central bank's target range at 5.5% (September), the refinancing rate stands at 6.5%, its lowest since 2021, and public debt is a modest 20.1% of GDP. Strategic foreign-currency reserves of $89.4 billion, including $72.6 billion in the State Oil Fund (SOFAZ), and a first-half current account surplus of $4.7 billion (12.4% of GDP) give the economy considerable resilience.

Azerbaijan's main structural task is reducing reliance on maturing oil and gas output while managing a more complex regional environment. Oil and gas value added fell 1.2% in the first nine months of 2026 and oil export volumes fell 7.8% in January–August, yet higher prices lifted oil export revenue 10.6% and total exports 27.8%, producing a trade surplus of $10.39 billion. The regional conflict involving Iran since February 2026 included a drone strike on Nakhchivan in March; Azerbaijan responded with measured diplomacy, did not join hostilities and reopened its border crossings within days. The country is turning its position into an advantage: transit freight reached a five-year high of 9.1 million tonnes in January–July 2026, gas exports reached 25.2 bcm in 2025 with more than half going to the EU, and renewables are planned to reach about 43% of the energy mix by 2035, creating opportunities in logistics, green energy and non-oil manufacturing.

INVESTOR RISK & MARKET ACCESS

KEY ENTRY BARRIERS

Issue	Potential Impact	Possible Mitigation
Dependence on maturing hydrocarbon output	Oil and gas output is declining gradually, with oil export volumes down 7.8% in January–August 2026, although strong prices have lifted export earnings	SOFAZ's $72.6 billion in assets and new gas and renewables projects cushion the transition and create openings in non-oil sectors, energy services and green energy
Regional security environment (Iran conflict)	The US–Iran conflict since February 2026 has raised regional risk, including a drone strike on Nakhchivan airport in March; Azerbaijan stayed out of hostilities and reopened its border within days	Include regional-security scenarios and insurance in planning; the conflict has also raised the value of Azerbaijan's Caspian and Middle Corridor routes as alternatives to the Strait of Hormuz
Peace process with Armenia not yet finalised	A provisional peace declaration was signed in Washington in August 2025 and the treaty initialled, but signature awaits Armenian constitutional change	Track the US-backed TRIPP route, which has secured an initial $400 million of financing, as an early source of transport and infrastructure opportunities
Sanctions exposure through neighbouring markets	Azerbaijan is not subject to broad sanctions, but its North–South transit links to Russia and Iran, both under extensive US, UK and EU sanctions, require careful counterparty and goods screening	Engage sanctions counsel, apply robust screening and focus trade on the fast-growing East–West Middle Corridor and EU energy routes
Legal predictability and state-led economy	State companies and holdings play a	Use Alat Free Economic Zone structures

Issue	Potential Impact	Possible Mitigation
	central role in key sectors, and investor protections vary between the general regime and special zones	with chosen governing law, international arbitration clauses and partnerships with established state counterparts
Imported inflation from global prices	Higher energy and food prices led the central bank to set its end-2026 inflation forecast at 5.9%, although inflation remains within target at 5.5%	Strong foreign-exchange inflows and record reserves support the manat; apply standard hedging for long-dated local-currency exposure
Narrow non-oil export base	Non-oil exports reached $6.27 billion in January–August 2026, about 29% of total exports, leaving room for further diversification	Government priority on non-oil growth, zone incentives and the Middle Corridor create early-mover opportunities in manufacturing, agri-food and logistics

INVESTOR RISK NOTE

Azerbaijan's risk profile is that of an energy economy with exceptionally strong financial buffers that is steadily broadening its growth base. Strategic reserves of $89.4 billion, public debt of around 20% of GDP and a large current account surplus give the country wide room to absorb external shocks, and non-oil growth, rising investment and a 13.8% increase in FDI inflows in the first half of 2026 point to sustained momentum. The regional conflict involving Iran since February 2026 is the main external consideration: Azerbaijan has kept out of hostilities, managed the March drone incident in Nakhchivan through diplomacy and kept trade routes open, while the conflict has increased the strategic value of its Caspian and Middle Corridor routes. The peace process with Armenia is well advanced though not yet finalised, and its completion would unlock new transport links. Azerbaijan itself is not subject to broad sanctions, but investors trading along North–South routes should apply sanctions screening for Russia- and Iran-linked counterparties. Investors who build regional-security scenarios into planning and use the Alat Free Economic Zone's legal framework can approach the market with confidence.

MARKET ACCESS

Azerbaijan sits at the junction of the East–West Middle Corridor and the North–South transport corridor, linking Central Asia and China to Georgia, Türkiye and Europe, and handled a five-year high of 9.1 million tonnes of transit freight in January–July 2026. The EU is the leading export market, taking 53.9% of exports in January–August 2026, with Italy the largest European buyer of both oil and gas. Gas exports reached 25.2 bcm in 2025 via the Southern Gas Corridor, including the Trans Adriatic Pipeline, while oil flows west through the Baku–Tbilisi–Ceyhan pipeline. Azerbaijan is not a member of the Eurasian Economic Union and is pursuing WTO accession, having signed bilateral market-access protocols with partners including Türkiye, Japan and, in 2026, China. Planned green-energy corridors to Europe and Central Asia, and the TRIPP route through Armenia to Nakhchivan, are set to widen access further.

WHO SHOULD THE INVESTOR MEET?

INSTITUTIONAL LANDSCAPE

Actor	Why It Matters	Waverley Engagement Angle
Office of the President (Ilham Aliyev)	Sets overall economic, energy and foreign policy, including diversification, connectivity and the peace process with Armenia	Primary reference point for understanding Azerbaijan's strategic direction
AZPROMO	National investment and export promotion agency and organiser of the Azerbaijan International Investment Forum	Standard first point of contact for market entry and sector guidance
Ministry of Economy (Mikayil Jabbarov)	Leads investment-climate policy, special economic zones and Azerbaijan's WTO accession commission	Key counterpart for incentive frameworks and policy dialogue
Central Bank of Azerbaijan	Monetary authority; manages the manat, the refinancing rate (6.5%) and $15.4 billion of reserves	Relevant for currency, banking-sector and repatriation matters
Ministry of Energy (Parviz Shahbazov)	Leads oil, gas and renewable energy	Essential for energy-sector and

Actor	Why It Matters	Waverley Engagement Angle
	policy and hosts the Southern Gas Corridor Advisory Council in Baku	renewables engagement
SOCAR (State Oil Company of Azerbaijan Republic)	National oil and gas company and partner in the major production-sharing consortia and export pipelines	Central partner for any oil, gas or energy-infrastructure investment
State Oil Fund of Azerbaijan (SOFAZ)	Sovereign wealth fund holding $72.6 billion in assets; transferred 14.48 billion manat to the state budget in 2025	Relevant for understanding fiscal resilience and potential co-investment interest
Alat Free Economic Zone Authority	Administers Azerbaijan's flagship free zone beside the Port of Baku, with its own tax, customs and legal regime	Preferred structuring venue for manufacturing, logistics and export-oriented projects

CURRENT INTERNATIONAL BUSINESS CHANNELS

The American Chamber of Commerce in Azerbaijan is the leading Western business association, and AZPROMO organises business forums, trade missions and the Azerbaijan International Investment Forum. Bilateral business forums hosted by the Ministry of Economy, such as the 2026 Azerbaijan–Slovakia Business Forum, provide direct access to ministers and zone authorities. The annual Southern Gas Corridor Advisory Council brings together governments, energy companies and financiers, and BP and other international energy companies with long-standing Caspian operations are a valuable source of practical market intelligence. The EBRD and the Asian Development Bank are active development partners, including funding feasibility studies for the Baku-based Green Corridors Alliance, and Masdar and ACWA Power are anchoring a growing renewable-energy investor community.

INVESTOR PROFILE BEST SUITED

Azerbaijan suits investors seeking exposure to a financially strong economy at the crossroads of Europe and Asia: logistics, port and rail investors positioned to benefit from record Middle Corridor transit growth; renewable-energy and grid investors aligned with the 2035 target of about 43% renewables and planned export corridors; manufacturing and agri-food investors using the Alat Free Economic Zone and reconstruction-region incentives; and energy-services and engineering firms supporting continued Caspian gas development. ICT and digital-services investors can build on double-digit sector growth. All investors should include regional-security scenarios and sanctions screening of neighbouring-market counterparties in their planning.

FROM INTELLIGENCE TO ENGAGEMENT

STEP 1: Engage AZPROMO and the Ministry of Economy
Open direct dialogue with the national investment promotion agency and the ministry to identify sector priorities, incentive terms and suitable state counterparts.

STEP 2: Evaluate Alat Free Economic Zone structuring
Assess the zone's tax and customs exemptions, free choice of governing law and unrestricted profit repatriation for manufacturing, logistics and export-oriented projects.

STEP 3: Build regional-security and sanctions scenarios into planning
Model disruption scenarios linked to the Iran conflict and screen counterparties and goods on Russia- and Iran-linked routes with specialist sanctions counsel.

STEP 4: Track connectivity and corridor expansion
Follow Port of Baku capacity growth, Middle Corridor volumes and progress on the TRIPP route, which together are creating new logistics and infrastructure opportunities.

STEP 5: Explore renewable energy and reconstruction opportunities
Engage the Ministry of Energy and partners such as Masdar and ACWA Power on renewables, and assess incentives in the Karabakh and East Zangezur reconstruction region.